

bers, saying that it has accrued gross revenues of ₹10,000 crore in FY22. Though audited results are not out yet, the figure is a massive jump from its FY21 numbers. But, a majority of its gross revenues may come from acquisitions—like Aakash Educational Services, Great Learning, Epic and Toppr—that were closed in FY22.

“In FY21, not much of the revenues from acquisitions have come in. I would estimate that they [BYJU’S] would do about ₹6,500-7,500 crore next year [FY22] because some of the revenue would get referred to FY23. About 40-50 per cent of it will be from acquisitions,” says an edtech entrepreneur who wishes to remain anonymous. The company has made 11 acquisitions worth over \$2.5 billion in CY21, of which the largest deal—of tutorial chain Aakash—had run into a controversy. The reason was the deferment of the payment of the final tranche of ₹1,983 crore to Aakash’s investor Blackstone to September 23, 2022, from June 2022. Putting an end to speculations of further delay, BYJU’S cleared the dues on the day of the deadline. Though Founder and CEO Byju Raveendran had maintained that the company has enough money and the delay was merely procedural, industry observers had cited the tight cash situation at the company as the reason. “They sure have cash in the bank, but you also have to ensure a healthy runway these days. Also, the pending amount was not insignificant,” says an investor who wishes to remain anonymous.

Compounding the cash crunch is a missing \$250-million investment, part of the \$800-million funding round it had announced in March this year. While Raveendran had infused \$400 million in the round, a commitment of \$250 million from Sumeru Ventures and Oxshott Capital has not materialised yet. BYJU’S had earlier said that the delay is due to “macroeconomic reasons”, but as per sources, there is no visibility yet on when the amount might turn up.

That brings the focus back to

fresh fundraising at a time when start-ups across the world are dealing with subdued investor appetite. And BYJU’S broadcast to investors has not been received well. As per sources *BT* spoke to, BYJU’S has held several rounds of talks with a number of investors from the Middle-East, including Abu Dhabi Investment Authority and Qatar Investment Authority, without much headway. Sources also say that earlier this year, it turned down an offer from one of the sovereign funds that offered to invest at a lower valuation than what it was valued at in its previous round.

It would be an uphill task for BYJU’S to raise a straight round (at the same valuation) in the current market as private investors are looking for greater downside protection. “If the company wants a mark-up on valuation in this market, it will have to take a structured round. Investors would ask for a 2-3x liquidation preference, or a guaranteed IRR. These are structures where the headline valuation is meaningless,” says a VC investor who wishes to remain anonymous. Moreover, at a recent media interaction, Raveendran said that the company would do a flat round, and then a converter round to give

investors a 20 per cent IPO discount. In a convertible round, a company issues convertible notes for short-term loans, which convert into equity during its next financial event.

K. Ganesh, serial entrepreneur and promoter of start-ups such as big-basket, Portea Medical, HomeLane and Bluestone, says that any form of funding is fine in this market, and BYJU’S has all the potential to address these issues. “Flat, down or convertible round, all of it is fine. Most companies go through such swings in valuations. Other than the last round’s investors who will see a temporary markdown, it bothers no one, just as the recent public market meltdown does not bother the company or damage its prospects,” he adds.

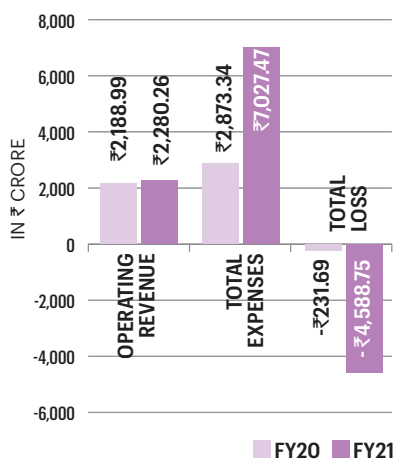
He goes on to say that BYJU’S is a great achievement not just for edtech but also for the Indian start-up sector and its scale, execution, impact, funding and valuation have been astounding. However, there are areas it needs to improve on so that the brand and growth do not get adversely impacted. He further says that given BYJU’S current scale and size, quality of investors, and past track record of execution, it will again come out on top after addressing these issues.

BYJU’S, which saw its valuation rise to \$22 billion in March 2022 from \$8 billion in January 2020, seems to be taking a moment to breathe and reorient itself. As per Raveendran’s recent email to staff, the company is shifting its growth-at-all-cost strategy to focus more on profitability, something that a lot of start-ups are now beginning to work on.

“Going forward in FY23 and beyond, we will combine growth with efficiency to ensure sustainability. The overall idea is to allocate resources effectively in order to maximise impact,” he wrote to employees. Is this a sign of the calm after a storm, or the beginning of a voyage into more choppy waters? With BYJU’S, one can never tell. **BT**

UNDER PRESSURE

BYJU’S loss has widened by nearly 20 times in FY21



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